Mexico
Federal Economic Competition Commission

The Mexican Federal Economic Competition Commission ('COFECE') has actively engaged in efforts to approach the challenges posed by digital markets and achieve a high degree of digitalization within our agency, particularly since we published our Digital Strategy back in 2020.[35]

We define digitalization as a process that seeks to introduce, expand, and standardize the use of computational tools and technology-driven initiatives within different activities to enhance our institutional capabilities. Thus, the process of digitalization within our agency has an impact in processes, activities, as well as in detecting and enforcing anticompetitive conducts.

As part of our engagement with digital markets and digitalization we would like to refer to a couple of international cooperation initiatives that we believe will provide strategic insights and platforms to exchange best practices on these matters.

First, COFECE has been working with fellow competition agencies in the Americas to launch the Group of Competition Agencies of America (GrACA).[36] Within GrACA, COFECE and the Brazilian Administrative Council for Economic Defense (CADE) co-chair an agency-only working group on digital markets and digitalization. This working group also includes two sub-groups, one on digital markets and the other on digitalization within the agencies. The purpose of these is to exchange best practices, ongoing projects, and identify potential agency cooperation initiatives.[37]

Second, in November 2022, a series of working meetings related to technology and digitalization were held between members of the United States Federal Trade Commission (FTC), the Department of Justice Antitrust Division (DoJ), the Canadian Competition Bureau (CCB) and COFECE. This allowed our agencies to share

[35] Available in Spanish at COFECE, *Estrategia Digital,* https://www.cofece.mx/estrategia-digital-cofece/ (last accessed June 7, 2023).

[36] The acronym stands for Grupo de Agencias de Competencia de América in Spanish, *i.e.* GrACA. This is an initiative that relaunches an interagency cooperation forum formerly known as *Regional Competition Center*.

[37] The General Directorate of Digital Markets leads our efforts in the digital markets working subgroup and the General Directorate of Market Intelligence coordinates COFECE's contributions in the digitalization within agencies working subgroup.

highlights from digitalization processes and tech- focused projects, identifying potential areas for future cooperation. Therefore, COFECE's engagement with digitalization, which includes the use of computational tools, has featured an active agenda of international cooperation.

In the following section we will briefly discuss specific examples of computational tools that have been used in both internal processes and activities. Furthermore, we will refer to some of the applications of computational tools to detect and enforce anticompetitive conducts.

I. Use of computational tools in internal processes and activities

In January 2020, COFECE launched SINEC, which is a system that allows us to conduct all merger review processes electronically.[38] Some of the advantages that result from this system is the possibility to notify an intended merger remotely, having continuous and uninterrupted access to the case files, and expedite the overall merger analysis.[39]

In addition to the latter, COFECE has also digitalized and automatized additional processes and services which include case management tools such as the electronic reception of documents related to ongoing cases, including the submission of formal complaints of potential anticompetitive conducts. We also are currently able to conduct remote compulsory interviews, among other investigative tools.

Currently, we are working on strategic projects that provide our digitalization agenda with even greater relevance. For example, we are in process of introducing the use of advance cognitive services including GPT-4 and Generative Artificial Intelligence (GAI) in different internal processes and services. This is possible because we have managed to succeed in several initiatives that have included the adoption of cloud-based infrastructure arrangements, intensive digitization of information, development of semi-automatization and automatization processes, among other.

[38] Sistema de notificaciones electrónicas (in Spanish). For more information, *see* COFECE, *Sistema De Notificaciones Electrónicas*, https://www.cofece.mx/wp-content/uploads/2020/03/InfografiaSINEC.pdf (last accessed June 7, 2023).

[39] COFECE's Board issued new guidelines and regulatory provisions that legally enabled the use of electronic and digital means in several of our formal processes.

It is important to note that as part of our 2023 yearly projects, COFECE is working on developing processes and tools to further enhance the optimal use of different information sources collected as part of ongoing antitrust investigations. We consider that this approach would contribute to improve the effectiveness and efficiency of our processes and activities.

II. Use of computational tools in detecting and enforcing potential breaches of Mexican competition law

COFECE's Investigate Authority (IA) has the General Directorate of Market Intelligence (GDMI or Intelligence Unit) as part of its structure. The GDMI detects potential anticompetitive conducts in the Mexican market to develop ex officio investigations. For this purpose, the Intelligence Unit uses a wide variety of tools that range from Open-Source Intelligence (OSINT), Human Intelligence (HUMINT), data and economic analysis, to mention a few.

Since its creation in 2014, the Intelligence Unit has built capacities both in terms of human and material resources to be able to improve the effectiveness of its detection activities. Moreover, the GDMI also provides specialized services to other areas of the IA that investigate cartels, abuse of dominance and barriers to competition.[40]

In this regard, the GDMI has developed several projects that rely on computational tools for the detection and enforcement of anticompetitive conducts. For such purpose, we could divide these projects in two broad categories: i) Data collection-processing tools, and ii) Data analysis tools.

In the first category, we could include tools that have been developed for automatized data collection and processing tasks, which feature a variety of algorithms capable of web scrapping, data extraction from different formats, data base integration from both structured and unstructured data origins, to mention a few. These tools have been built to enhance the efficiency in collecting large volumes of information, particularly quantitative, but are also useful for OSINT tasks.

[40] The Investigative Authority is formed by five General Directorates: Cartels (Dirección General de Investigación de Prácticas Monopólicas Absolutas), Unilateral Conducts (Dirección General de Investigaciones de Mercado), Regulated Markets (Dirección General de Mercados Regulados), Coordination Office (Oficina de Coordinación), and the Intelligence Unit.

In the second category, the GDMI has developed a series of specific-purpose tools for both markets and cases. For example, we have developed a public procurement screening tool that is useful to detect potential anticompetitive patterns (both price and non-price related) in Mexican federal government procurement data. Our screening tool relies on the use of computational tools and provides a dashboard that facilitates analysis tasks. From this tool we have managed to build several major public procurement case leads.

Moreover, we have also developed tools useful for the detection of potential unlawful mergers, for the analysis of alleged unilateral conducts and barriers to competition. For example, the GDMI built a tool for geographic relevant market definition that has been applied in gasoline and LP gas cases with the purpose to define potential relevant markets using both pivot and non-pivot methods.

These couple of examples provide a general overview of the extent in which we have adopted computational tools as part of detection and enforcement activities within COFECE. We believe that these would also be included as part of our digitalization efforts and intend to enhance our projects with new applications such as GAI. On this matter, we are also exploring using GAI in the analysis of digital evidence acquired using IT forensic tools during dawn raids with early promising results.

At COFECE we are committed to continue our efforts to achieve a profound digitalization within our agency, which will be inherently related to the application of computational tools for both internal activities as well as enforcement tasks.